

HOUSE BILL 193

By Jones R

AN ACT to amend Tennessee Code Annotated, Title 67,
Chapter 6, Part 3, relative to exemption from sales
tax on motor vehicles for members of the national
guard.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-6-303, is amended by adding the
following as a new subsection (d):

(1) There is exempt from the tax imposed by this chapter the sale or use of a
motor vehicle that is registered in this state in accordance with title 55, if the vehicle is
sold to a qualifying member of the Tennessee national guard. The exemption under this
subsection (d) applies only to the first fifteen thousand dollars (\$15,000) of the sales
price and only to one (1) vehicle sold to such individual within a five-year period.

(2) In order to qualify for the exemption provided in this section, the purchaser
shall provide to the seller, or to the county clerk when appropriate, proof of the
purchaser's status as a member of the Tennessee national guard and documentation
from the member's national guard unit certifying that the member is in good standing. A
copy of the proof and documentation must be retained in the seller's files and a copy
must also accompany the application for registration.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it, and
applies to purchases of motor vehicles made on or after that date.